



Moody's Corporation Reports Record Results for First Quarter

Rebound in U.S. Fixed Income Market and Growth in European Structured Finance Drive 29% Revenue Growth

New York, NY. - April 18, 2001 - Moody's Corporation (NYSE:MCO) today announced results for the first quarter of 2001, setting new revenue and earnings records.

Revenue in the first quarter of 2001 was \$180.2 million, an increase of 29.4% from \$139.3 million for the same period of 2000. First quarter operating income of \$89.8 million was up 40.8% from \$63.8 million in the first quarter of 2000. Reported net income for the three months ended March 31, 2001 was \$48.0 million, an increase of 33.7% from \$35.9 million for the same period of 2000. Moody's first quarter results included net interest expense of \$2.3 million after tax, representing interest expense on \$300 million of privately placed debt in connection with its spin-off from The Dun & Bradstreet Corporation, net of interest income on invested cash.

Earnings per share for the first quarter of 2001 were \$0.30 basic and \$0.30 diluted, compared with \$0.22 basic and diluted for the first quarter of 2000. On a pro forma basis, including interest expense on the private placement debt (and excluding any interest income) for both periods, first quarter diluted earnings per share would have been \$0.29 for 2001 compared with \$0.20 for 2000, a gain of 45.0%.

Moody's first quarter results reflected nearly 30% year-to-year growth in global ratings revenue. This growth was driven by significant improvements in U.S. ratings due to a more favorable capital markets environment for fixed income securities, as well as strong gains in European structured finance ratings.

Revenue in the United States was \$131.9 million for the first quarter of 2001, an increase of 32.2% from \$99.8 million in the same period of 2000. This increase reflected strong growth in ratings revenue, principally in corporate and municipal bonds and structured finance. Falling interest rates spurred significant issuance activity and enabled corporate investment grade borrowers to shift short-term debt to long-term financing at favorable rates.

Moody's international revenue was \$48.3 million in the first three months of 2001, an increase of 22.3% over \$39.5 million in the first quarter of 2000. The first quarter growth reflected double-digit growth in ratings revenue, due in particular to strong growth in structured finance ratings in Europe. International research revenue increased 25% over the first quarter of 2000, reflecting strong demand for Moody's products delivered via the Internet.

Moody's Risk Management Services revenue grew 61% to \$5.3 million in the first quarter, reflecting a full quarter of revenue from a first quarter 2000 acquisition, as well as continued strong demand for credit risk management products.

John Rutherford, Jr., President and Chief Executive Officer of Moody's Corporation, said, "We are very pleased with our first quarter results, which were driven by exceptional strength in United States bond issuance volumes and European structured finance. The strong growth that we delivered for our shareholders should provide a good base for exceeding our long-range targets in 2001."

Share Repurchase Program

In October 2000, the Board of Directors of Moody's Corporation authorized a share repurchase program of up to \$250 million of Moody's common stock. The program includes both special share repurchases and systematic repurchases of Moody's common stock to offset the dilutive effect of share issuances under the Company's employee benefit arrangements. During the first quarter of 2001, the company repurchased 3.5 million shares of its common stock pursuant to this program, at a total cost of approximately \$96.5 million. Approximately 0.6 million of these shares were repurchased to offset share issuances under the company's employee benefit arrangements. For the program to date, Moody's has repurchased 6.3 million shares at a total cost of approximately \$168.3 million, including approximately 1.3 million shares to offset share issuances under the company's employee benefit arrangements.

2001 Outlook

In the first quarter of 2001, Moody's benefited from extremely strong United States issuance volumes due to declines in interest

rates and from robust volumes in United States and European structured finance, with growth rates also reflecting a relatively weak first quarter 2000 comparison. For the remainder of 2001, the company expects that the positive impact of lower United States interest rates, as well as continued growth in structured finance, should drive continued strong performance, although not at the levels experienced in the first quarter. Moody's expects a somewhat slower pace of United States issuance than the very strong first quarter levels. Revenue in the remaining quarters of 2001 is expected to be lower than the first quarter level with revenue and earnings growth rates also lower than the first quarter, versus stronger prior year comparisons. We expect a slowing in the United States consumer economy due to rising unemployment rates, high levels of consumer debt and the wealth effect of lower financial asset prices. Consensus forecasts of business investment in the United States, which is a key driver of bond issuance, show deceleration from last year's levels. In addition, forecasts of growth in Europe are declining.

Based on these assumptions, for the full year 2001 we anticipate mid-teens revenue and operating income growth. We are also expecting low- to mid-teens growth in as reported earnings per share and close to 20% growth in pro forma earnings per share. For the second quarter, we expect mid-teens growth in revenue, with lower growth in operating income due to a lower margin level versus the 50% level achieved in the second quarter of 2000. This should result in single-digit growth in reported earnings per share and low-teens growth in pro forma earnings per share for the second quarter of 2001. Economic conditions that could produce better results than Moody's current forecast include a further 50 basis point rate cut in the United States, which would stimulate coupon refinancing, and rate cuts by the European Central Bank, which would stimulate corporate issuance. Moody's results could be less than the outlook if macroeconomic or capital markets conditions are worse than expected.

Moody's Corporation (NYSE: MCO) is a leading provider of credit ratings, research and analysis covering debt instruments and securities in the global capital markets. Further information is available at www.moody.com.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

The statements contained in the "2001 Outlook" section of this release are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. The forward-looking statements and other information are made as of April 18, 2001, and the Company disclaims any duty to supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, the Company is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors include, but are not limited to, customer reaction to, and the exercise by various governmental authorities of their discretionary authority in respect of, the Company's guilty plea on April 10, 2001, and the conduct underlying it; changes in the volume of debt securities issued in domestic and/or global capital markets; changes in interest rates and other volatility in the financial markets; possible loss of market share through competition; introduction of competing products or technologies by other companies; pricing pressures from competitors and/or customers; the potential emergence of government-sponsored credit rating agencies; proposed U.S., foreign, state and local legislation and regulations, including those relating to nationally recognized statistical rating organizations; the possible loss of key employees to investment or commercial banks or elsewhere and related compensation cost pressures; the outcome of any review by controlling tax authorities of the Company's global tax planning initiatives; the uncertainty regarding market acceptance and revenue generating opportunities for web-based research products; and other factors as discussed in The New D&B Corporation Form 10 (Amendment No. 2) filed on September 11, 2000 with the Securities and Exchange Commission and in other filings made by the Company from time to time with the Securities and Exchange Commission.

Moody's Corporation
Consolidated Statements of Operations (unaudited)

	Three Months Ended March 31,	
<i>Amounts in millions, except per share amounts</i>	2001	2000
Revenue	\$ 180.2	\$ 139.3
Expenses:		
Operating, General and Administrative Expenses	86.3	71.5
Depreciation and Amortization	4.1	4.0
Total Expenses	90.4	75.5

Operating Income	89.8	63.8
Non Operating Income (Expense), net	(3.5)	0.5
Income Before Provision for Income Taxes	86.3	64.3
Provision for Income Taxes	38.3	28.4
Net Income	\$ 48.0	\$ 35.9
Basic Earnings Per Share	\$ 0.30	\$ 0.22
Diluted Earnings Per Share	\$ 0.30	\$ 0.22
Weighted Average Number of Shares Outstanding:		
Basic	159.0	161.2
Diluted	161.1	162.5

Notes:

Non Operating Income (Expense), net for the three months ended March 31, 2001 includes \$4.1 million of net interest expense, reflecting \$5.7 million of interest expense on the \$300 million of private placement debt that was incurred in connection with the Company's September 30, 2000 spin-off from The Dun & Bradstreet Corporation, net of interest income on invested cash.

Diluted earnings per share on a pro forma basis, excluding the interest income on invested cash in 2001 and including interest expense related to the \$300 million debt private placement in 2000, is as follows:

	Three Months Ended March 31, 2001 2000	
Pro Forma Diluted Earnings Per Share	\$ 0.29	\$ 0.20

Moody's Corporation
Supplemental Revenue Information (unaudited)

	Three Months Ended March 31, 2001 2000	
<i>Amounts in millions</i>		
Ratings:		
Structured Finance Ratings	\$ 59.1	\$ 40.5
Corporate Finance Ratings	54.5	44.6
Financial Institutions and Sovereign Ratings	31.4	27.4
Public Finance Ratings	<u>13.0</u>	<u>9.4</u>
Total Ratings Revenue	158.0	121.9

Other	<u>22.2</u>	<u>17.4</u>
Total Revenue		
	\$ 180.2	\$ 139.3
Geographic Revenue:		
United States	\$ 131.9	\$ 99.8
International	<u>48.3</u>	<u>39.5</u>
Total Revenue	\$ 180.2	\$ 139.3

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